

Contestant # _____

UIL ACCOUNTING
2026 Invitational-B Test

Do not turn this page until the start signal is given!

All answers MUST be written on your answer sheet.

No other test materials are graded or reviewed by the graders.

Upper- or lower-case letters are acceptable. Write legibly. All answers must be clearly written, or they will be counted wrong. Write letters far enough above the line so that (for example) an “E” is distinguishable from an “F”. If using T or F for true-false questions, make sure your answer is clearly discernible.

Carefully read the instructions for each group of questions. Pay particular attention to instructions regarding: 1) the format of answers; 2) rounding; and 3) answers with brackets or parentheses.

You may remove the pages from the staple for convenience; only the answer sheet is considered by the graders.

Acceptable Responses Section

Debit/Credit questions:				True/False questions:				Yes/No questions:				for Zero
Debit	DR	debit	dr	True	T	true		Yes	Y	yes		0 Ø -0-
Credit	CR	credit	cr	False	F	false		No	N	no		zero

If an answer has zero cents, it is not necessary to write the decimal or the zeroes for cents. However, any dollar amount with cents must have TWO decimal places.

A required decimal point must be clearly visible and in the correct position.

Round dollar amounts to the nearest cent.

Including commas in an amount where appropriate is encouraged, but it is optional. Failure to use commas will not make your answer wrong; however, marking a comma in the wrong position will cause your answer to be marked incorrect.

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UIL ACCOUNTING

2026 Invitational-B Test

Group 1

For questions 1 – 10, on your answer sheet write T for true or F for false.

1. Insurance Expense is increased with a debit.
2. Accounts Payable is decreased with a credit.
3. Prepaid Insurance is decreased with a debit.
4. Merchandise Inventory is increased with a debit.
5. Sales is increased with a credit.
6. The owner's withdrawal account is increased with a debit.
7. Accounts Receivable is increased with a credit.
8. The owner's capital account is decreased with a credit.
9. Purchases Returns & Allowances is increased with a credit.
10. Sales Discounts is increased with a credit.

Group 2

Below are all the temporary accounts of a service business and their respective, normal balances after adjusting entries have been posted.

Drawing.....	\$ 12,000
Fees Income.....	110,000
Rent Expense.....	2,400

The accountant asked a novice bookkeeper to prepare the closing entries, who had great difficulty with this task. Below are the entries made by the novice bookkeeper:

Capital.....	110,000	
Fees Income.....		110,000
Income Summary.....	2,400	
Rent Expense.....		2,400
Capital.....	107,600	
Income Summary.....		107,600
Drawing.....	12,000	
Capital.....		12,000

Based on the information above, answer questions 11 – 17 by answering Yes or No.

11. To close revenue for the year, should Fees Income have been credited?
12. To close revenue for the year, is the Capital account used?
13. To close an expense account, should the expense account be credited?
14. To close Income Summary, should Income Summary be debited?
15. To record net income, should Capital be credited for \$95,600?
16. To close the Drawing account, should Income Summary be debited for \$12,000?
17. After all closing entries are completed, did the Capital account increase overall by \$95,600?

Group 3

Selected items from a portion of a work sheet appear below. Beginning inventory is \$17,730. Answer questions 18 – 23 by writing the amount on your answer sheet.

	INCOME STATEMENT	
	DEBIT	CREDIT
Income Summary		3,180
Sales		74,390
Sales Returns & Allowances	1,473	
Sales Discounts	1,179	
Purchases	37,230	
Purchases Returns & Allowances		1,172
Purchases Discounts		812
Transportation In	2,764	
Expenses (combined)	24,615	

18. What is the amount of net sales?
19. What is the amount of net purchases?
20. What is the amount of cost of delivered merchandise?
- * 21. What is the amount of cost of merchandise sold?
22. What is the amount of cost of merchandise available for sale?
- * 23. What is the amount of gross profit?

Group 4

An individual started a new business on July 1, 2022. At that time the individual invested his personal life savings in the business. In 2022, revenues were \$43,927, expenses were \$62,812, and there were no owner withdrawals.

In 2023, the owner made an additional capital contribution of \$5,000 and made no withdrawals. Total revenues for 2023 were \$163,854, and expenses were \$143,790.

In 2024, the owner made no additional contributions of capital. Total revenues for 2024 were \$279,620, and expenses were \$206,915. During 2024 the owner withdrew \$32,400.

In 2025, the owner made no additional contributions of capital. Total revenues for 2025 were \$304,685, and expenses were \$198,045. The owner determined from the financial statements that his original investment in 2022 was finally indicating a high rate of return on his investment, so he withdrew \$95,000 for personal use. The ending capital account balance on December 31, 2025, after closing entries were posted was \$136,324.

For question 24, write the correct amount on your answer sheet.

- ** 24. What was the amount of the owner's original investment in the business in 2022?

Group 5

The owner of a small sole proprietorship uses three financial statements at the end of each month: balance sheet, income statement, and statement of changes in owner's equity. The owner's equity section of the balance sheet shows only the ending capital amount. The income statement includes a detailed section for cost of merchandise sold.

For items 25 – 32, indicate on which financial statement(s) the item will appear. Write the identifying letter of the correct response on your answer sheet.

A. Balance Sheet only
B. Income Statement only
C. Statement of Changes in Owner's Equity only
D. Balance Sheet and Statement of Changes in Owner's Equity
E. Income Statement and Statement of Changes in Owner's Equity
F. Balance Sheet and Income Statement

- 25. Ending merchandise inventory
- 26. Net loss
- 27. Beginning balance of capital
- 28. Ending balance of capital
- 29. Investments made by owner during the fiscal period
- 30. Total liabilities
- 31. Owner withdrawals
- 32. Cost of merchandise sold

Group 6

Determine in which entry items 33 – 38 would be journalized: with the salary expense entry, the payroll tax expense entry, or both. Write the identifying letter of the correct response on your answer sheet.

A. Salary expense entry only
B. Payroll tax expense entry only
C. Both the salary expense entry and the payroll tax expense entry

- 33. Net pay for the period
- 34. Social Security Taxes
- 35. Employees' federal income taxes
- 36. Health insurance premiums paid by employees
- 37. State unemployment taxes (in this state employees are exempt)
- 38. Gross earnings for the period

Group 7

The following T-accounts summarize partial activity in the Accounts Payable account(s) for a service business. Amounts given are all correct. Credit purchases from Lilo, Ltd began in May 2025. Answer questions 39 – 45 by writing the correct amount.

General Ledger:

Accounts Payable		
	51,420	5-1-25
May 2025 <u> ?</u>	<u> ?</u>	May 2025
	<u>62,980</u>	5-31-25

Accounts Payable Subsidiary Ledger:

Coco & Co		
	15,800	May 1
May <u> ?</u>	5,750	May
	<u> ?</u>	May 31

Walle, LLC		
	<u> ?</u>	May 1
May <u> ?</u>	5,000	May
	<u>13,960</u>	May 31

Monsters, Inc		
	15,260	May 1
May <u> ?</u>	8,700	May
	<u>16,550</u>	May 31

Lilo, Ltd		
	19,500	May
May <u> ?</u>	<u>14,575</u>	May 31

- * 39. What are the total payments on account for May?
- 40. What is the balance of Accounts Payable on the April 30 balance sheet?
- 41. What is the May 1 balance owed to Walle, LLC?
- 42. What were the May payments on account to Monsters, Inc?
- 43. What was the amount owed to Coco & Co. on May 31?
- * 44. By what amount did May purchases on account exceed payments on account?
- 45. What were the total May payments on account to Lilo, Ltd?

Group 8

On May 5, 2025, James Davis, owner of Davis & Associates, received a bank statement dated April 30, 2025. It is company policy to record any necessary journal entries and to update the checkbook balance after the bank reconciliation is completed. James compared the company's checkbook records with the bank statement and found the following:

- The April bank statement shows an ending balance of \$2,649.27.
- The statement shows the April bank service charge of \$16.19.
- A check from Dalton Bookstore for \$849.50 that was deposited in the Davis account on April 28 was returned by the bank. Davis's bank charged his account with a \$25 fee for handling the dishonored check. (Both the dishonored check and the fee were first discovered upon receipt of the bank statement.)
- A deposit of \$3,108.90 was made on April 30 but does not appear on the bank statement.
- Four March and April checks do not appear on the bank statement:

Check #6215 for \$228.19 Check #6590 for \$694.80
Check #6591 for \$420.10 Check #6593 for \$27.55

For questions 46 and 47, write the correct amount on your answer sheet.

46. What is the reconciled (adjusted) bank balance on April 30, 2025?
- * 47. What was the ending checkbook balance before the bank reconciliation was prepared?

Group 9

The employees of Key Co. are paid an hourly wage plus overtime at a rate of $1\frac{1}{2}$ times the regular rate of pay for hours worked over 40 in a week. The company is closed on weekends and there was not a national or company holiday this week.

Employee	Hourly Wage	Mon	Tues	Wed	Thu	Fri
Carla Stone	\$ 10.00	7.5	8	13	8	6
Ray Smith	12.50	9	10	9.5	7.5	12
Janet Nix	15.00	8	9	9	8	8
John Hurst	14.00	9	6	10	7	5

For question 48, write the correct amount on your answer sheet.

- * 48. What is the total gross pay for all of the employees for the week?

Group 10

Molly James is the bookkeeper for Ellis Appliances. She gathered the following information in order to prepare the annual adjusting entries for December 31, 2025. (No adjusting entries are made monthly by Ellis Appliances.)

The Prepaid Insurance account contains an increase of \$3,600 for a three-year policy acquired on August 1, 2025. This is the balance of Prepaid Insurance on the unadjusted Trial Balance.

The balance in the Supplies account on the unadjusted trial balance is \$11,800. An inventory of supplies on December 31, 2025, indicates \$5,400 of supplies on hand.

The balance in the Accounts Receivable account on the unadjusted trial balance is \$32,400. A 2025 missing invoice #6390 for \$800 for a sale on account to a customer was found while preparing adjusting entries. Molly recorded this invoice as a correcting entry on the worksheet, along with the adjusting entries.

Merchandise Inventory on the unadjusted trial balance is \$15,000. A physical inventory on December 31, 2025, indicates \$16,420 on hand.

Consider the data above and answer items 49 – 61 by writing T for true or F for false.

49. The balances of the asset accounts on the unadjusted trial balance will be the same as the balances of the asset accounts on the Post-Closing Trial Balance.
50. In August of 2025 Prepaid Insurance was debited for \$3,600.
51. The balance of the Prepaid Insurance account on January 1, 2025 was zero.
52. To adjust Prepaid Insurance on December 31, 2025, Insurance Expense must be debited \$1,500.
53. The correct balance of Prepaid Insurance on the Post-Closing Trial Balance is \$3,100.
54. The Supplies account must have had a January 1, 2025, balance of \$11,800.
55. In order to report the actual 12-31-25 inventory of supplies on the Balance Sheet, the Supplies account must be credited \$6,400.
56. The adjustment to record the newly discovered Invoice #6390 includes a credit of \$800 to Income Summary.
57. Recording Invoice #6390 is an application of the revenue principle.
58. Because ending merchandise inventory increased over beginning inventory, cost of merchandise sold increased.
59. If purchases for the year had been \$30,000, cost of merchandise available for sale would have been \$45,000.
- * 60. If purchases for the year had been \$30,000, and sales had been \$50,000, then gross profit would have been \$28,580.
- * 61. The balancing total of the adjustment columns is \$10,120.

Group 11

Write the identifying letter of the BEST response for items 62 – 67.

62. Arrange the following accounts in the order they would be listed on a chart of accounts.

- | | |
|------------------------|---------------------------|
| 1. Accounts Receivable | 7. Rent Expense |
| 2. Accounts Payable | 8. Merchandise Inventory |
| 3. Income Summary | 9. Sales |
| 4. Cash in Bank | 10. L. Lopez, Withdrawals |
| 5. Purchases | 11. Equipment |
| 6. L. Lopez, Capital | |

- A. 4, 8, 1, 11, 2, 3, 6, 10, 9, 5, 7
B. 4, 1, 8, 11, 2, 6, 10, 9, 5, 7, 3
C. 4, 1, 8, 11, 2, 6, 10, 3, 9, 5, 7
D. 4, 1, 8, 5, 11, 2, 6, 10, 3, 9, 7

63. The total of a single-column purchases journal would be posted to _____ as a debit and _____ as a credit.

- A. Accounts Receivable; Sales
B. Accounts Payable; Sales
C. Accounts Payable; Purchases
D. Purchases; Accounts Payable

64. The amount added to the cost of merchandise to establish the selling price is called

- A. cost of delivered merchandise
B. mark up
C. add on
D. vendor percentage

65. A retailer sells to _____. A wholesaler sells to _____.

- A. consumers; retailers
B. wholesalers; retailers
C. final users; consumers
D. merchandisers; discount vendors

66. Accounts Receivable is a(n) _____ because its balance must equal the total of all the account balances in the _____.

- A. controlling account; subsidiary journals
B. asset; general ledger
C. controlling account; subsidiary ledger
D. driving account; accounts receivable subsidiary ledger

67. A listing of customer accounts, account balances, and total amount due from all customers is called a _____ of accounts receivable.

- A. report B. listing C. print out D. schedule

Group 12

Glenda Bowden owns a retail store with a fiscal year ending December 31. She prepares adjusting and closing accounts at that time only. The (normal) balances of her accounts as of November 30, 2025, are presented in the chart below. (Operating expenses are combined for simplicity.)

Account	Amount	(space for calculations)
Cash	10,870	
Office Supplies	1,211	
Accounts Receivable	3,650	
Merchandise Inventory	22,130	
Accounts Payable	5,650	
Glenda Bowden, Capital	15,049	
Sales	63,870	
Sales Returns	1,458	
Sales Discounts	1,947	
Purchases	30,224	
Transportation In	610	
Purchases Returns	652	
Purchases Discounts	260	
Operating Expenses	13,381	

The following transactions occurred in December 2025:

Dec	
1	Purchased merchandise for \$2,500 on credit from Mecca Co., terms 2/10, n/60.
3	Sold merchandise for \$3,250 on credit to Jesse Barlow, terms 1/20, n/30.
4	Paid \$70 for freight charges relating to a merchandise purchase.
5	Purchased office supplies for \$65 on credit from Acme Office Supply.
6	Returned \$20 of the Dec 5 office supplies for credit
7	Returned \$50 of merchandise purchased on Dec 1 from Mecca Co. for credit.
8	Sold merchandise for \$1,625 on credit to Darla Rowe, terms 1/15, n/30.
9	Paid Mecca Co. for the merchandise purchased on Dec 1.
14	Darla Rowe returned \$25 of merchandise purchased on Dec. 8. for credit
22	Darla Rowe paid her account in full.
26	Jesse Barlow paid his account in full.

Refer to the information above. Answer questions 68 – 75 by writing YES or NO.

68. Did the transaction of December 1 include a debit to Merchandise Inventory for 2,500?

69. Did the transaction of December 3 affect a subsidiary ledger account?

70. Did the transaction of December 4 result in an increase to the Purchases account?

Group 12, cont'd.

- 71. Did the transaction of December 6 include a credit to Purchases Returns?
- 72. Did the transaction of December 7 include a credit to Accounts Payable?
- 73. Did the transaction of December 9 include a credit to Purchases Discounts for \$49?
- 74. Did the transaction of December 14 include a debit to Sales Returns?
- 75. Did the transaction of December 26 include a debit to Cash of \$3,217.50?

Continue to use the data on the previous page. Compute amounts for items 76 – 80, AFTER the December transactions are journalized and posted, but BEFORE end-of-year adjusting entries are prepared. Write the correct amount for each on your answer sheet.

- ** 76. What is the account balance of Cash?
- * 77. What is the account balance of Accounts Payable?
- ** 78. What is the amount of net sales?
- ** 79. What is the amount of net purchases?
- *** 80. What is the balancing total of the adjusted trial balance columns on 12/31/25?

This is the end of the test. Please hold your test and answer sheet until the contest director asks for them. Thank you.

GROUP 1

1. True
2. False
3. False
4. True
5. True
6. True
7. False
8. False
9. True
10. False

GROUP 2

11. NO
12. NO
13. YES
14. YES
15. NO
16. NO
17. YES

GROUP 3

18. \$ 71,738
19. \$ 38,010
20. \$ 39,994
- * 21. \$ 34,830
22. \$ 55,740
- * 23. \$ 36,908

GROUP 4

- ** 24. \$ 78,200

GROUP 5

25. F
26. E
27. C
28. D
29. C
30. A
31. C
32. B

GROUP 6

33. A
34. C
35. A
36. A
37. B
38. A

GROUP 7

- * 39. \$ 27,390
40. \$ 51,420
41. \$ 20,360
42. \$ 7,410
43. \$ 17,895
- * 44. \$ 11,560
45. \$ 4,925

GROUP 8

46. \$ 4,387.53
- * 47. \$ 5,278.22

GROUP 9

- * 48. \$ 2,250.50

GROUP 10

49. False
50. True
51. True
52. False
53. True
54. False
55. True
56. False
57. True
58. False
59. True

- * 60. False
- * 61. False

GROUP 11

62. C
63. D
64. B
65. A
66. C
67. D

GROUP 12

68. NO
69. YES
70. NO

GROUP 12. Cont'd

71. NO
72. NO
73. YES
74. YES
75. NO
- ** 76. \$ 13,233
- * 77. \$ 5,695
- ** 78. \$ 65,299
- ** 79. \$ 32,393
- *** 80. \$ 90,500

* Bonus Point Questions

- 21 – 1
- 23 – 1
- 24 – 2
- 39 – 1
- 44 – 1
- 47 – 1
- 48 – 1
- 60 – 1
- 61 – 1
- 76 – 2
- 77 – 1
- 78 – 2
- 79 – 2
- 80 – 3

Total

* Bonus = 20

NOTE: ALL SCORING IS DONE ON THE ANSWER SHEET

NO COVER SHEET NEEDED FOR BONUS POINTS